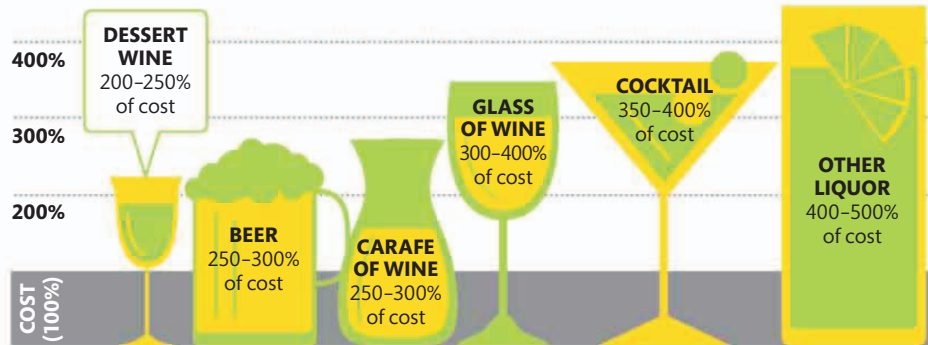


PRICING MARKUP COMPARISON

Different industries adopt different approaches to markups. A markup of two to five times the cost is typically applied to drinks served in bars and restaurants. The highest markup is usually applied to the second-cheapest bottle of wine on the wine list, as people tend to avoid the cheapest item.



High quality

Market penetration

- › **Low price** Charge the lowest price possible in order to lure customers away from competitors.
- › **Price adjustment** Increase the price to a normal level once the product has a loyal following.
- › **Pricing flexibility** Reassess pricing: initial high-volume sales lower cost of production, allowing price tweaks.

Premium

- › **High price** Charge as much as the market will pay for an item.
- › **Unique value** Apply premium prices to products that have no comparable substitute, such as famous brand-name goods.
- › **High production cost** Charge a premium price because a product is customized and offers no savings through volume manufacturing.

Other pricing strategies



Psychological pricing

Manipulate a customer's emotions, appealing to their thrifty side or desire for prestige.



Bundle pricing

Offer several products for an overall price, providing better value than buying separately.



Geographic pricing

Charge different prices for the same product in different locations.



Non-pricing strategies

Avoid adjusting the price to attract sales, promoting superiority of product instead.